

UniNotes

BUSINESS

Business Finance Essentials

Revenue, costs, profit, cash flow and break-even in a concise decision-focused guide.

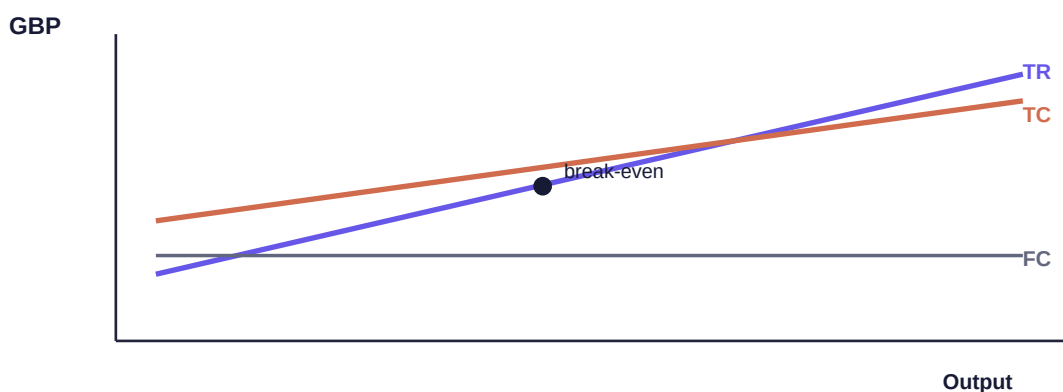
How to use these notes

Start with the key definitions, then use the tables/diagrams to connect ideas. Finish with the exam checklist. The aim is high information density: short wording, clear concepts, no filler.

1. Core financial relationships

Revenue	selling price x quantity sold
Total cost	fixed costs + variable costs
Profit	revenue - total costs
Contribution per unit	selling price - variable cost per unit
Break-even output	fixed costs / contribution per unit
Margin of safety	actual output - break-even output

2. Break-even



At break-even, total revenue equals total cost, so profit = 0. Above break-even the firm makes profit; below it the firm makes a loss, assuming linear costs/revenue.

3. Profit vs cash

Profit is an accounting measure over a period. Cash flow tracks actual cash entering and leaving the business. A profitable firm can still fail if it cannot meet short-term cash obligations.

cash sales, receipts from debtors, loans, owner investment	supplier payments, wages, rent, tax, loan repayments, equipment

4. Sources of finance

Retained profit	business already profitable	limited amount; opportunity cost
Bank loan	known long-term funding need	interest + repayments
Overdraft	short-term cash timing gap	variable cost; repayable
Equity	growth/risk capital	ownership/control diluted
Trade credit	working capital	supplier terms/relationship

5. Decision use

Financial calculations support decisions but do not make them automatically. Managers should combine figures with demand forecasts, competitor behaviour, capacity, risk and qualitative objectives.

Exam tip

Always interpret the number. After calculating break-even or profit, say what it means for the decision and mention one assumption or limitation.

Exam-ready checklist

- Calculate revenue, profit and contribution.
- Calculate break-even output and margin of safety.
- Explain why profit is not the same as cash.
- Compare at least two sources of finance.
- Interpret calculations in business context, not as isolated arithmetic.

Fast recall

If you cannot explain a concept in one or two sentences without looking, revisit that section. Aim to recall the definition, mechanism and one example.

Uni Notes keeps revision focused: concise explanations, useful detail, and diagrams only where they improve understanding.